

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-16

BALTIC AUTO SHIPPING, INC.

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV and
EMPIRE UNITED LINES CO., INC.**

**RESPONDENTS' OPPOSITION TO COMPLAINANT'S
REQUEST FOR AN EVIDENTIARY HEARING**

As part of Complainant's Reply to Respondents' Petition Regarding Attorney Fees, Complainant included a separate "request" for "an evidentiary hearing pursuant to Rule 254(g)...." [**Doc. No. 105 at p. 36**].

Such "request" is really a separate non-dispositive motion pursuant to Rule 69(g). As such, Complainant was required under Rule 69(a) to request such relief via a separate petition, and moreover, was required under Rule 71(a) to confer with counsel for Respondents prior to seeking such relief. Once again, counsel for Complainant (Mr. Nussbaum), has failed to confer and, therefore, Respondents respectfully submit that Complainant's request for an evidentiary hearing should be denied.

By Respondents' count, this is Mr. Nussbaum's **fourth** violation of Rule 71(a) in the month of August alone. Mr. Nussbaum failed to confer before filing his first request for an extension of time on August 1, 2017. And he was expressly warned by the Secretary of the Commission about the need to comply with Rule 71(a). [**Doc. No. 99 at p. 10**]. Mr. Nussbaum misrepresented the nature of the relief sought when he sought a second extension of time on August 15, 2017, and further failed to confer with respect to his request for a stay. [**Doc. No.**

102]. Mr. Nussbaum failed to confer regarding his motion for confidential treatment filed on August 22, 2017 **[Doc. No. 104]**, and failed to confer regarding his request for an evidentiary hearing filed on the same day **[Doc. No. 105]**.

Which also raises the point that this is the **fifth** non-dispositive motion Mr. Nussbaum has made in the past month since filing his initial request for an extension of time to reply to Respondents' Petition Regarding Attorney Fees. Respondents respectfully submit that Mr. Nussbaum has repeatedly demonstrated a tactic of brazenly violating the Commission's Rules and of inundating the Commission with an unending litany of non-dispositive motions, in this and other cases, for the purposes of harassing opposing counsel, increasing the costs of litigation, and obstructing the orderly resolution of matters before the Commission.

For example, see *Ovchinnikov et al. v. Hitrinov et al.*, FMC Docket No. 15-11, at Doc. No. 128, in which counsel for the Respondents in that matter detailed, at length, Mr. Nussbaum's numerous violations of the FMC Rules and the Model Rules of Professional Conduct, and sought suspension of Mr. Nussbaum's privilege to practice before the Commission. Respondents respectfully submit that if the Commission does not stop Mr. Nussbaum from engaging in such practices, he will continue the same pattern of bad faith litigation in this and other matters before the Commission.

Turning to the substance of Mr. Nussbaum's request for an evidentiary hearing, Rule 254(e) sets forth the permissible scope of any reply to a petition regarding attorney fees and explains that: "The reply may address the reasonableness of any aspect of the prevailing party's claim and may suggest adjustments to the claim under the criteria stated in paragraph (d) of this section."

It is clear from Mr. Nussbaum's argument in support of his request, that he is not seeking an evidentiary hearing to "address the reasonableness of any aspect of the prevailing party's claim" or to "suggest adjustments to the claim under the criteria stated" in Rule 254(d). Instead, Mr. Nussbaum seeks an evidentiary hearing "so that Judge Cavanaugh as former Special Master may be questioned under oath" in support of the same waiver argument which the Commission already rejected in its April 21, 2017 Memorandum Opinion and Order. **[Doc. No. 105 at p. 38]**.

Thus, contrary to the Commission's explicit ruling that "*although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest*" **[Doc. No. 94 at p. 9]** Mr. Nussbaum is still arguing that the unsigned settlement agreement is valid and constitutes a waiver of Respondents' statutory right to seek reasonable attorney fees as prevailing parties in this matter.

Any evidentiary hearing would be fruitless because Mr. Nussbaum has failed to seek reconsideration from, or appeal from the Commission's April 21, 2017 Memorandum Opinion and Order, and thus, he has waived any basis that Complainant might have had to challenge the Commission's findings. No amount of evidentiary hearings will change this.

It is also clear that the evidentiary hearing proposed by Mr. Nussbaum would be a waste of time, since he already provided the April 21, 2016 conference transcript to the Commission **[Doc. No. 88]**¹ and this transcript reflects the only statements on the record regarding the settlement of the DNJ case. Nowhere in that transcript is there a discussion of Respondents' right to seek reasonable attorney fees in this proceeding. And any off the record conversations

¹ Although the April 21, 2016 transcript was filed by Mr. Nussbaum under seal in this matter, it is available as a publicly filed document in the case captioned as *Empire United Lines Co., Inc. v. Presniakovas et al*, U.S.D.C. – E.D.N.Y., 15 Civ. 557 (DLI) (RER) as Document No. 31-1.

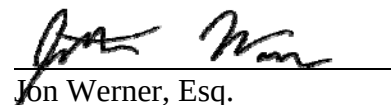
between the parties to the DNJ case and Judge Cavanaugh are privileged under Federal Rule of Evidence 408, and therefore cannot be used for any purpose in these proceedings. In any event, no amount of testimony from Judge Cavanaugh would be capable of converting an unsigned draft settlement agreement into a final a fully signed settlement agreement.

For the foregoing reasons, Respondents respectfully submit that Complainant has not presented a good faith basis for the holding of an evidentiary hearing. Thus, Complainant's "request" for an evidentiary hearing should be denied.

Dated this 29th day of August 2017.

LYONS & FLOOD, LLP

By:

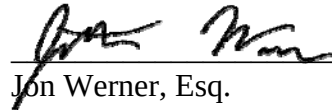

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served RESPONDENTS' OPPOSITION TO COMPLAINANT'S REQUEST FOR AN EVIDENTIARY HEARING upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

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Dated this 29th day of August 2017.



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